Education & Skills Funding Agency

Cheylesmore House
Quinton Road
Coventry
CV1 2WT

T 0345 377 5000

THIS VARIATION is made on the date the Variation is digitally signed by the Training Provider on the "Manage your education and skills funding service" ("the Variation Date").

BETWEEN: -

(1) **THE SECRETARY OF STATE FOR EDUCATION** acting through the Education and Skills Funding Agency an Executive Agency of the Department for Education of Cheylesmore House, Quinton Road, Coventry, CV1 2WT (**"the ESFA")**; and

(2) **10017862 Co Ltd** Company No: AA017862 (10017862) whose registered office is situated at 10 Albyn Place, Edinburgh, EH2 4NG (**"the Training Provider"**).

RECITALS: -

(A) The ESFA and the Training Provider entered into an Apprenticeship Agreement for the provision of Apprenticeship Training with the ESFA's reference number of ESFA-124567 (**"Original Agreement"**).

(B) The ESFA and the Training Provider have agreed to vary the terms of the Original Agreement as set out in this Variation.

(C) The ESFA's reference number for this Variation is Winter 2022, Version 4.0.

IT IS AGREED as follows: -

1. **CONSIDERATION**

In consideration of each of the parties entering into this Variation (such consideration being agreed by the parties to be good and valuable consideration, the adequacy and sufficiency of which is hereby acknowledged and agreed), the parties have agreed to vary the Original Agreement in accordance with Clause 30 (Variation) of the Original Agreement.

2. **VARIATION OF THE ORIGINAL AGREEMENT**

2.1 The parties agree with effect from the Variation Date the Original Agreement shall be varied as set out in Annex 1 attached.

2.2 Subject to Annex 1, the Original Agreement as amended by the previous variations shall continue in full force and effect in all respects.

2.3 In addition to the amendments set out in Annex 1, the Original Agreement shall be construed and interpreted with such further consequential amendments as are necessary to give effect to the amendments set out in Annex 1 of this Variation, as if such further amendments were also expressly set out in Annex 1.

2.4 Except as expressly provided for in Clause 2.3 and Annex 1, the parties agree that no other liabilities, financial or otherwise, shall accrue to the ESFA because of this Variation.

3. SEVERABILITY

The provisions of this Variation are intended by the parties to be severable in the event that any part of it is held to be illegal or unenforceable (in whole or in part) and such part shall not affect the validity and enforceability of the remaining provisions or the remainder of the affected provision under this Variation.

4. AUTHORITY AND COSTS

Each party undertakes that it has full power and authority to enter into and shall be responsible for its own costs arising in relation to this Variation.

5. THE CONTRACTS (RIGHTS OF THIRD PARTIES) ACT 1999

5.1 Subject to Clause 5.2 below, this Variation is not intended to create any benefit, claim or rights of any kind whatsoever enforceable by any person who is not a party to this Variation. Accordingly, the parties confirm that no term of this Variation is enforceable under the Contracts (Rights of Third Parties) Act 1999 by a person who is not a party to this Variation.

5.2 It is the intention of the parties that any other department, officer or agency of the Crown, may as required from time to time act as the ESFA's agent in enforcing the ESFA's rights under this Variation.

6. GOVERNING LAW AND JURISDICTION

The parties agree that this Variation and any dispute arising under or in any way connected with the subject matter of this Variation (whether of a contractual or tortious nature or otherwise) shall be governed by and construed in accordance with the laws of England, and the parties submit to the jurisdiction of the English Courts.

7. ACCEPTANCE BY THE TRAINING PROVIDER

The person that accepts this Variation via the “Manage your education and skills funding service” on behalf of the Training Provider represents and warrants to the ESFA that the Training Provider has read and understood this Variation, that the Training Provider agrees to be bound by this Variation and that he/she is duly authorised to enter into this Variation and legally bind the Training Provider.

This Variation is made on the date the Variation is digitally signed by the Training Provider on the “Manage your education and skills funding service”.

SIGNED FOR AND ON BEHALF OF
THE SECRETARY OF STATE FOR EDUCATION
acting through the Education and Skills Funding Agency
by John Edwards, Interim Chief Executive of the Education and Skills Funding Agency



ANNEX 1

VARIATIONS TO ORIGINAL AGREEMENT

All references to Clauses and paragraphs in this Annex 1 are to Clauses and paragraphs in the Original Agreement.

A summary of the main changes are detailed below. Where new clauses or paragraphs have been added and/or existing clauses or paragraphs deleted, subsequent clauses and paragraphs and cross-referencing to clauses and paragraphs have been re-numbered throughout the Agreement. In addition, URL's have been amended where appropriate to ensure that the URL points to the updated resource/publication on GOV.UK. As the amendments made to Schedule 1 Data Protection are extensive these have not been reflected below. Please refer to your revised Schedule 1 and Schedule 1a which detail the full requirements for delivery from the Variation Date.

You must refer to your revised Agreement and associated Schedules which incorporate all amendments.

A copy of the revised ESFA Apprenticeship Agreement for Training Providers, Winter 2022, Version 4.0, which incorporates the amendments detailed below, is attached to this Variation.

1. Definitions

Add the definition of "Accountability Framework" as follows:

"Accountability Framework"	means the framework set out by the ESFA at Apprenticeship training provider accountability framework 2021/2022 - GOV.UK (www.gov.uk) that includes Quality Indicators and Supplementary Indicators to which the Training Provider must adhere as updated and amended from time to time.

Amend the definition of "Change of Control" as follows:

"Change of Control"	means **(1)** any event where any single person or group of persons acting in concert (within the meaning of the City Code on Takeovers and Mergers) acquires any direct or indirect legal and / or beneficial interest in the share capital (as defined in Section 545 of the Companies Act 2006) of the Training Provider as a result of which that person or group of persons has a direct or indirect interest in more than 25% of the share capital of the Training Provider; **and/or** **(2) A** change in the top two tiers of the management team

	of the Training Provider.

Add the definition of "Earnings Adjustment Statement" as follows:

"Earnings Adjustment Statement"	means Earnings adjustment statement (EAS) - GOV.UK (www.gov.uk)

Amend the definition of "Expiry Date" as follows:

"Expiry Date"	means **31 July 2025** or such later date as is notified in writing by the ESFA and agreed by the Training Provider in accordance with Clause 3 (Commencement and Duration).

Amend the definition of "ILR" as follows:

"ILR" or "Individualised Learner Record"	means the on-going collection of data about Apprentices undertaken by Training Providers in the Further Education (FE) and Skills sector as set out at Individualised Learner Record (ILR) - GOV.UK (www.gov.uk)

Amend the definition of "Minimum Standards" as follows:

"Minimum Standards"	means the quality standards set by the ESFA **up to the academic year 2018-19** to which the Training Provider **had to adhere.**

Add the definition of "Subsidy Control" as follows:

"Subsidy Control"	means the UK Government's rules on the provision of subsidies.

2. Purpose and Use of Funding

Add Clause 2.7 as follows:

2.7 The ESFA will monitor the performance of the Training Provider in accordance with the Accountability Framework as set out at Schedule 2 of this Agreement.

Add Clause 2.8 as follows:

2.8 Where the Training Provider is participating in a pilot project related to Training delivered under this Agreement and the specification sets out a requirement that is enhanced and / or different from a requirement set out in this Agreement, the Training Provider will comply with the enhanced and / or different requirement set out in the specification for the pilot. This may include but is not

limited to enhanced monitoring, regular feedback to the ESFA or any other body, or more frequent or detailed ILRs.

4. Training Provision

Amend Clause 4.1 as follows:

4.1. The Training Provider shall deliver the Training and, where relevant, its role in relation to End-Point Assessment in accordance with the Funding Rules **and the Accountability Framework** which are incorporated **into** this Agreement as if they were set out in this Agreement.

5. Requirements

Add Clause 5.1.3 as follows:

5.1.3 act in accordance with any requests made by the ESFA under the Accountability Framework;

6. Funding and Payment

Amend Clause 6.4 as follows;

6.4 In order for the ESFA to pay the Training Provider, the Employer must keep the Apprenticeship Details up to date on the Apprenticeship Service**. The Training Provider can, on behalf of the Employer, complete some actions from their Training Provider accounts, as stated in the Training Provider permissions – Apprenticeship Service Support (education.gov.uk), but this must be approved by the Employer and must not be completed from the Employer's own account.** The Employer must use the Apprenticeship Service to approve the Apprenticeship Details.

7 Funding Limits

Add a new Clause 7.1 as follows:

7.1 Where the Training Provider is a New Provider, the Training Provider will comply with any Provider Growth Limit that the ESFA applies to it.

Delete Clause 7.1.1

8 Assignment and Subcontracting

Amend Clause 8.2 as follows:

8.2 If the Training Provider subcontracts any part of the delivery of the Training, it must comply with the provisions set out in Schedule 3 (subcontracting).

Amend Clause 8.3 as follows:

8.3 If the Training Provider subcontracts any part of the delivery of the Training, the Training Provider shall retain primary responsibility for any obligation or duty attributable to it under this Agreement and / or the contract for services with the Employer.

Delete the original Clause 8.5

9. Change in Name and Change in Ownership

Clause 9 has been renamed **Change in Name, Change in Control and Prohibition on disposing of the Agreement**

Amend Clause 9.1 as follows:

9.1 The Training Provider shall not without the prior written consent of the ESFA assign, novate or otherwise dispose of **this Agreement and/or** any or all of its rights, obligations or liabilities under this Agreement **including to other legal entities within the same group as the Training Provider**.

12 Apprentice Health, Safety & Welfare

Add Clauses 12.9 to 12.9.3 as follows:

12.9 Where it applies

12.9.1 The Training Provider must comply with the Modern Slavery Act 2015 and must have in place for the Term policies and procedures to ensure full compliance.

12.9.2 The Training Provider must ensure that all subcontracts that it enters into include an obligation for the Subcontractor to comply with the Modern Slavery Act 2015 with special emphasis on express anti-slavery and anti-human trafficking provisions.

12.9.3 The Training Provider shall implement due diligence procedures to ensure that there is no slavery or human trafficking in any part of its supply chain.

13. Liability

Amend Clause 13.2 as follows:

13.2 The ESFA reserves the right to require the Training Provider to secure the provision of an appropriate guarantee **(in the form as specified by the ESFA)** in respect of the Training Provider's liabilities under this Agreement.

15. Monitoring and Financial Health

Amend Clause 15.1 as follows:

15.1 The ESFA acting reasonably is entitled to undertake or commission an audit and / or investigation in relation to this Agreement or any issue connected with it **including in connection with the Accountability Framework**. The Training Provider shall assist and cooperate with the ESFA in relation to audit or investigation and shall grant the ESFA or its authorised representatives or auditors access to its Premises at any reasonable time, with or without notice, to examine, remove and / or copy any relevant documents and records (including electronic records) and to interview the Training Provider's employees, agents and / or Subcontractors carrying out activities in connection with this Agreement or any Apprentice receiving Training funded under this Agreement.

OFSTED Monitoring Visits

Add Clause 15.6.7 as follows:

15.6.7 remove the Training Provider from the Register of Apprenticeship Training Providers if the Training Provider has two (2) consecutive Ofsted Monitoring Visits each resulting in one or more "insufficient progress" judgements in relation to one or more themes.

Delete Clauses 15.10 to 15.12 which refer to **OfS Apprenticeship Review Visits and Sanctions**

18 Data Protection, Protection of Personal Data and Cyber Essentials

Amend the date in Clause 18.3 as follows:

18.3 Where Clause 18.2 applies, the Training Provider must use reasonable endeavours to meet the requirements of Cyber Essentials from **1 August 2021.** In circumstances where the Training Provider has yet to gain Cyber Essentials certification, the ESFA reserves the right to require the Training Provider to achieve the relevant Cyber Essentials certification on giving one year's notice in writing.

20. Submission of Apprentice Data through the ILR

Amend Clause 20.1 as follows:

20.1 The Training Provider must submit promptly to the ESFA an accurate ILR in relation to each individual Apprentice in accordance with **this Agreement and** the Individualised Learning Record (ILR) technical documents, guidance and requirements as amended and updated from time to time.

Add Clause 20.8.7 a follows:

20.8.7 take any other action under the Accountability Framework.

Amend Clause 20.11 as follows:

20.11 The Training Provider must **provide information about the apprenticeships they offer which are** funded by the ESFA at **Publish to the course directory (nationalcareers.service.gov.uk).**

21 Fraud and Irregularity

Amend Clause 21.2 as follows (subclauses 21.2.1 to 21.2.3 remain unaltered):

21.2 Where the ESFA has reasonable cause to suspect that fraud or irregularity has occurred in relation to the delivery of Training and / or **one or more** End-Point **Assessments** for which the Funding is provided under this Agreement and / or the payment of Funding made under this Agreement or any other agreement with the ESFA:

22 Additional Conditions

Amend Clause 22.1 as follows:

22.1 The ESFA reserves the right to require the Training Provider to agree to additional terms and conditions in relation to this Agreement where it considers it is necessary to do so to secure the use of the Funding for the delivery of Training **by the Training Provider to the required standard and / or** to ensure that the Funding provided by the ESFA is being used effectively and efficiently **and / or to ensure that the Training Provider complies with requests made by the ESFA under the Accountability Framework.**

23 Withholding, Suspension and Repayment of Funding

Amend Clause 23.1.4 as follows:

23.1.4 the ESFA **has reasonable grounds to suspect** fraud, financial irregularity, dishonesty, negligence or practice by any of the Training Provider and / or one or more Training Provider Related Party;

Amend Clause 23.1.9 as follows:

23.1.9 the Training Provider fails to comply with any of the provisions set out in this Agreement (including the provisions in the Funding Rules **and / or any requirements under the Accountability Framework**) and fails to rectify any such failure within 30 days of receiving written notice from the ESFA (or such other timescale specified in the notice) detailing the failure and requiring it to rectify the failure; and / or

24 Termination

Delete Clause 24.1.16 which refers to termination on the grounds that the OfS has assessed the Training Provider as having "not met" one or more of the conditions;

Amend and re-number Clause 24.1.17 as follows:

24.1.16 the ESFA assesses that the Training is, in whole or part, below the Minimum Standards **and / or any performance expectations set out in the Accountability Framework**; and /or

39 Training Provider's Feedback and Complaints Procedure

Amend Clause 39.1 and Clause 39.2 as follows:

39.1 The Training Provider shall have **a policy and process** in place, which **is** acceptable to the ESFA **and available to the ESFA on request** to gather and act upon **Apprentice** feedback **to improve the experience of Apprentices while they are on their programmes, and to support more general improvements. The Training Provider must ensure that Apprentices are aware of the process and the Training Provider shall use Apprentice feedback to ensure training programmes meet Apprentices' needs. The Training Provider must arrange for and operate a plan to deliver continuous improvement in relation to the training, and should include aggregated Apprentice feedback to inform that plan**.

39.2 **The Training Provider shall have procedures in place, which are acceptable to the ESFA, to act upon complaints from Apprentices and / or their representatives and Employers and the wider community**. The Training Provider must ensure that Apprentices and Employers are made aware of its procedure for dealing with complaints and that the procedure is clear and accessible to Employers and / or Apprentices who wish to complain.

Clause **40 State Aid** has been **renamed Subsidy Control**

40 Subsidy Control

Amend Clauses 40.1 to 40.4 as follows:

40.1 The Training Provider should satisfy itself as to whether the rules on **Subsidy Contro**l apply to the Funding provided to it under this Agreement.

40.2 Where the rules on **Subsidy Control** apply, the ESFA will supply to the Training Provider details of the records that the Training Provider will need to collect and retain.

40.3 The Training Provider agrees to take all reasonable steps to assist the ESFA to respond to any investigation instigated by the **UK Government and / or any independent body established by it** into the Funding and / or the Training and / or End-Point Assessment.

40.4 The Training Provider acknowledges that a finding of **Subsidy Control** non-compliance in respect of the Funding and / or the Training and / or End-Point Assessment by a Court of competent jurisdiction may lead to the Training Provider being ordered to repay the Funding with interest.

43 Entire Agreement / Amendments

Add the following to Clause 43.1

Schedule 2 Accountability Framework for Training Providers

Schedule 3 Subcontracting

Amend Schedule 1 Data Protection as detailed in the revised Agreement attached to this Variation

Add Schedule 1a Processing, Personal Data and Data Subjects as detailed in the revised Agreement attached to this Variation

Add Schedule 2 Accountability Framework for Training Providers as detailed in the revised Agreement attached to this Variation

Add Schedule 3 Subcontracting